



Risk Register 2025

Thames Water UPS (Closed Section)

Funding Risks

Risk	Likelihood	Impact	Score	Owner
Adverse investment returns relative to liabilities	Medium	Med-High	15	Investment Ctte
Interest rate and inflation movements	Low-Med	Med-High	8	Trustee
Longevity improvements beyond assumptions	Low-Med	High	12	Trustee
Member option take-up variations	Low-Med	Med-High	7	Investment Ctte

Mitigating actions are documented in the Risk Appetite Statement. The Trustee reviews risks at each quarterly meeting and performs a full risk-register refresh annually.

Covenant Risks

Risk	Likelihood	Impact	Score	Owner
Sponsor financial deterioration	Medium	Med-High	4	Sponsor
Corporate restructuring or disposal	Low	Med-High	5	Investment Ctte
Dividend policy changes	Low	High	7	Investment Ctte

Mitigating actions are documented in the Risk Appetite Statement. The Trustee reviews risks at each quarterly meeting and performs a full risk-register refresh annually.

Investment Risks

Risk	Likelihood	Impact	Score	Owner
Counterparty failure in LDI arrangements	Low-Med	Med-High	5	Administrator
Liquidity shortfall under stress	Low	Medium	7	Investment Ctte
Manager underperformance	Low-Med	Medium	12	Investment Ctte

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Operational Risks

Risk	Likelihood	Impact	Score	Owner
Administrator errors or delays	Low	High	11	Administrator
Data quality degradation	Low-Med	Medium	9	Sponsor
Cyber and information security	Med-High	Med-High	7	Sponsor

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Legal & Regulatory Risks

Risk	Likelihood	Impact	Score	Owner
GMP conversion complexity	Med-High	Medium	4	Investment Cttee
Changes to tax regime for pensions	Low-Med	Medium	12	Administrator
New Funding Code compliance	Low	High	11	Trustee

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Member Outcomes Risks

Risk	Likelihood	Impact	Score	Owner
Member communications breakdowns	Low	High	6	Trustee
Complaints and IDRP escalations	Med-High	Medium	15	Trustee
Safeguarding vulnerable customers	Low	Medium	5	Investment Ctte

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Transaction Risks

Risk	Likelihood	Impact	Score	Owner
BPA pricing volatility	Low	High	4	Sponsor
Insurer capacity and selection	Low-Med	Med-High	12	Investment Ctte
Transfer documentation errors	Med-High	Med-High	10	Investment Ctte

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Climate Risks

Risk	Likelihood	Impact	Score	Owner
Transition risk on strategic allocation	Med-High	Medium	14	Administrator
Physical risk on property holdings	Low-Med	Medium	7	Trustee
TCFD reporting completeness	Medium	Medium	9	Administrator

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Governance Risks

Risk	Likelihood	Impact	Score	Owner
Trustee board composition and skills	Low-Med	High	15	Trustee
Adviser rotation and independence	Med-High	Med-High	6	Administrator
Conflict of interest management	Medium	Medium	13	Sponsor

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